

Rigetti Computing, Inc.

RGTI NASDAQ

Buy	\$26.42 ▲ 19.87%	12M Price Target \$32.00	52-Week Range \$10.30 – \$58.15	Market Cap \$8.78B
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RGTI: \$100M Govt Backing Drives 65% Two-Day Rally; Reiterate Buy

WHAT'S CHANGED

- RGTI surged +65% over two sessions (May 21–22) on confirmation of \$100M government backing, with volume exploding to 203M shares Friday (~6x prior 3-day average), pushing shares to \$26.42.
- Sector tailwinds reinforce move: Barron's "Q-Day" feature on \$3T post-quantum cryptography risk and IBM's best week in 24 years are driving broad quantum-compute rerating (IONQ also higher).

IMPLICATIONS

The \$100M government commitment materially de-risks RGTI's 2026–2027 cash runway and validates its superconducting modular architecture as a strategic national asset, likely tied to DARPA/DOE quantum initiatives. We expect this to accelerate Ankaa-3/Lyra system bookings and improve commercial conversion as enterprise customers gain confidence in vendor durability. Near-term catalysts include Q2 print, gate fidelity milestones (>99.7% 2Q target), and potential follow-on contract awards.

VALUATION

At \$8.78B market cap on ~\$18M FY26E revenue, RGTI trades at ~485x EV/Revenue — an extreme multiple reflecting optionality rather than fundamentals, in line with IONQ but well above classical compute peers. Our \$32 PT applies a ~600x FY26E EV/Sales (or ~330x FY27E), justified by binary upside to fault-tolerant milestones and government anchor-customer status; downside to ~\$12 if milestones slip. Multiple compression risk is the single largest valuation overhang.

KEY RISKS

- Equity dilution risk: RGTI has historically funded operations via ATM offerings, and the post-rally setup is highly conducive to a capital raise.
- Technical milestone risk: failure to hit qubit fidelity/scaling targets could trigger sharp multiple contraction given speculative valuation.
- Competitive displacement from IBM, Google, IONQ, and Quantinuum, particularly if rival modalities (trapped-ion, neutral atom) reach error-correction thresholds first.

RECENT NEWS

- Rigetti (RGTI) Climbs 48% on \$100M Govt Backing** Insider Monkey · 2026-05-25 12:51
- Rigetti Computing (RGTI) Soars 19.9% on \$100M Govt Funding** Insider Monkey · 2026-05-23 09:21
- Why IonQ (IONQ) Stock Is Up Today** StockStory · 2026-05-23 03:32

Key Data	
Price (USD)	\$26.42
12M Price Target	\$32.00
Upside / (Downside)	+21.1%
Market Cap	\$8.78B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.35)
Fwd P/E	N/M

